

IPO Reversal Strategy

Full Backtest Report — NSE Mainboard IPOs
FY20 – FY27 (April 2019 – March 2027)

Report generated: 28 June 2026

Total IPOs	Total Trades	Win Rate	Mean Return
402	1239	20.4%	+3.9%

Strategy: Enter when intraday HIGH $\geq$ trailing all-time low $\times$ 1.10 (fill at CLOSE). Stop-loss at -10% of entry. On stop: reset and re-enter on next valid signal. Final exit at the 1-year anniversary close.

1. Strategy Rules

Parameter	Rule
Universe	NSE Mainboard IPOs (excludes SME, InvIT, REIT)
Date range	FY20–FY27: April 2019 – March 2027
Entry trigger	Intraday HIGH $\geq$ trailing all-time low $\times$ 1.10
Entry fill	CLOSE of the trigger day
Stop-loss	Entry price $\times$ 0.90 (–10%); checked against intraday LOW
Stop fill	Stop level (worst-case; assumes gap not lower)
Re-entry	After each stop: reset trailing low, scan for next trigger
Exit	CLOSE of first trading day on/after 1-year anniversary
Data source	Yahoo Finance v8 API (.NS suffix); NSE Bhavcopy fallback

The strategy bets that IPOs which decline from listing price eventually form a reversal signal (a 10% bounce off the all-time low), and that this signal marks the beginning of a sustained recovery towards fair value over the following year. The –10% stop limits downside on failed bounces. Re-entry allows capturing subsequent reversal attempts if the initial entry is stopped out.

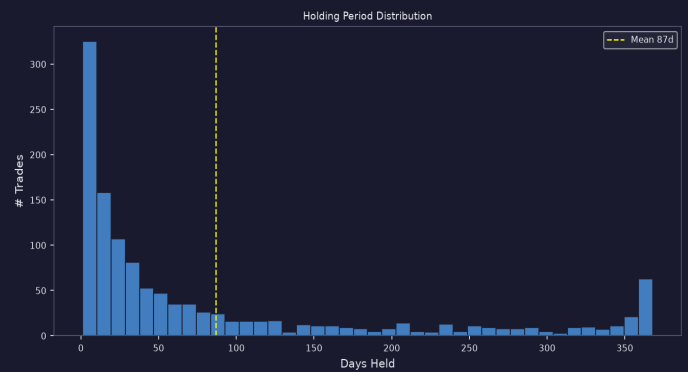
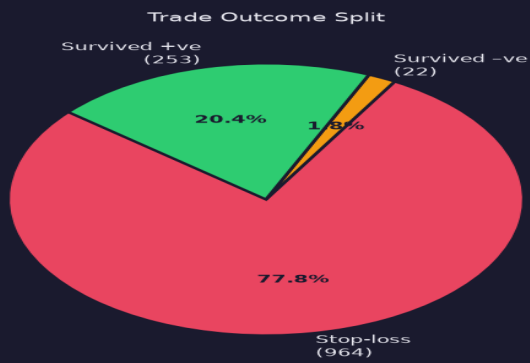
2. Universe & Coverage

Metric	Count
Total IPOs in universe	402
No data (symbol not found)	5
IPOs with data	397
IPOs where setup triggered ($\geq 1\times$)	397
IPOs with open active trade	102
IPOs with ≥ 1 re-entry	296
Total trade rows (all entries)	1346
Completed trades	1239
Active / open trades	102

Average entries per IPO: **3.38** | Maximum entries (one IPO): **14**

3. Outcome Distribution

Outcome	Trades	Share	Avg Return	Median Return
Stop-loss hit	964	77.8%	-10.0%	-10.0%
Survived, negative	22	1.8%	-3.5%	-3.6%
Survived, positive	253	20.4%	+57.4%	+34.4%
TOTAL	1239	100%	+3.9%	-10.0%



4. Return Statistics

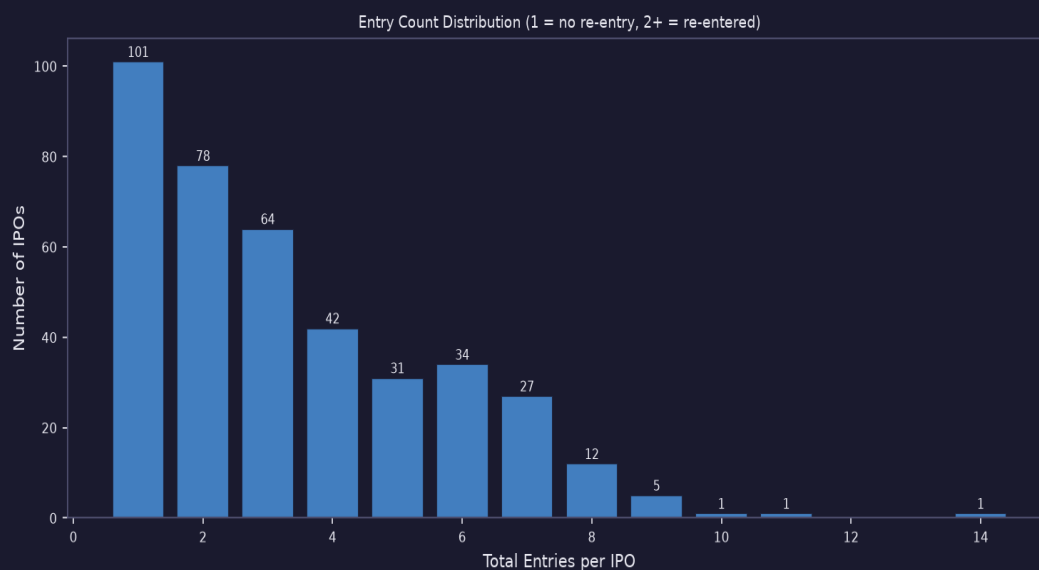
Statistic	All Trades	Winners Only	Losers Only
Mean return	+3.9%	+57.4%	-9.9%
Median return	-10.0%	+34.4%	-10.0%
Std deviation	39.9%	—	—
10th percentile	-10.0%	—	—
25th percentile	-10.0%	—	—
75th percentile	-10.0%	—	—
90th percentile	+34.7%	—	—
Best trade	+474.1%	+474.1%	—
Worst trade	-10.0%	—	-10.0%
Avg hold (days)	87	—	—
CAGR (proxy)	+17.3%	—	—

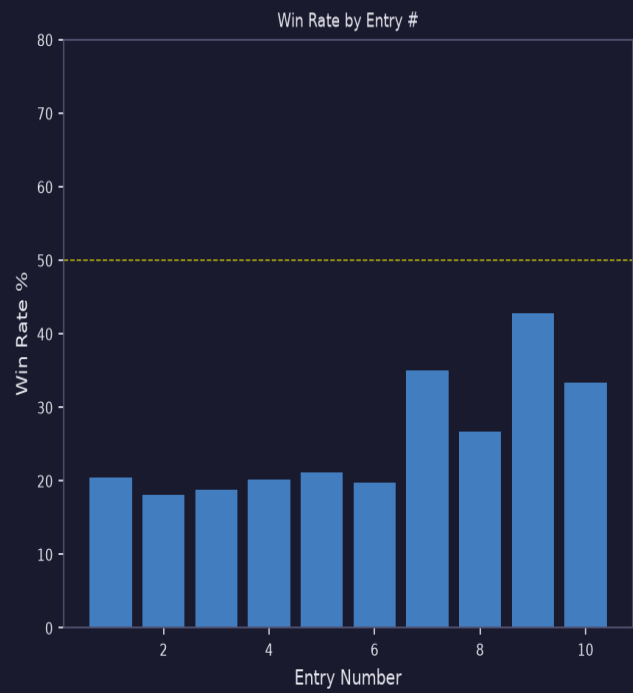
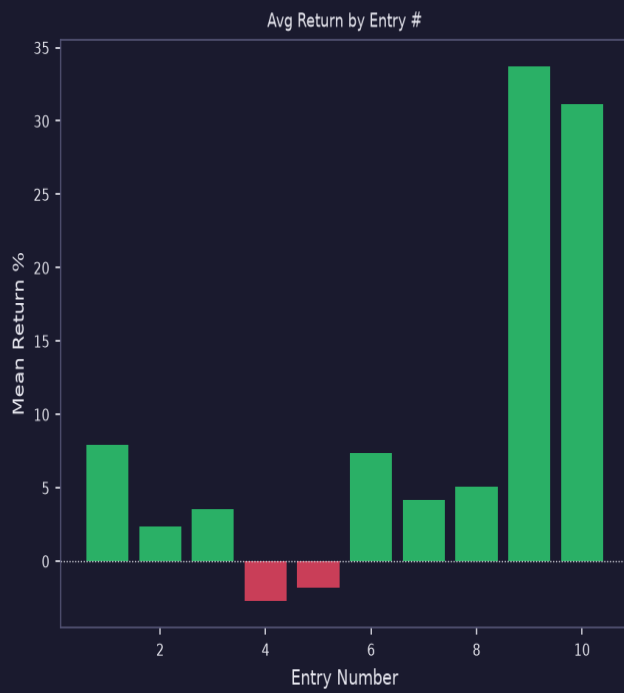


5. Re-entry Analysis

After each stop-loss, the trailing-low tracker resets and the scanner looks for the next 10% bounce signal from the new low — within the same 1-year window. The table below shows performance broken down by entry attempt number.

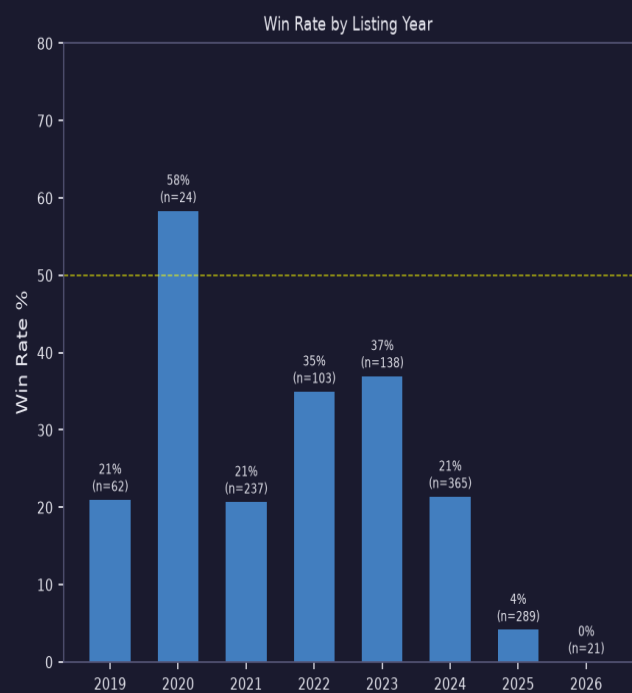
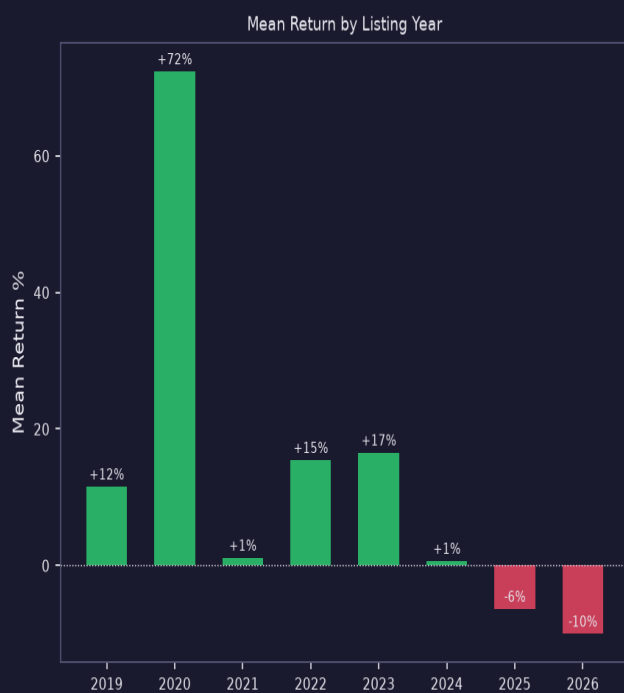
Entry #	Trades	Win Rate	Mean Return	Median Return
1	372	20.4%	+7.9%	-10.0%
2	276	18.1%	+2.3%	-10.0%
3	202	18.8%	+3.5%	-10.0%
4	144	20.1%	-2.7%	-10.0%
5	104	21.2%	-1.8%	-10.0%
6	71	19.7%	+7.4%	-10.0%
7	40	35.0%	+4.2%	-10.0%
8	15	26.7%	+5.1%	-10.0%
9	7	42.9%	+33.7%	-1.1%
10	3	33.3%	+31.1%	-10.0%
11	2	50.0%	-4.3%	-4.3%





6. Year-by-Year Cohort Analysis

Year	IPOs	Trades	Mean Ret	Median Ret	Win Rate	Best	Worst
2019	13	62	+11.6%	-10.0%	21.0%	+252.1%	-10.0%
2020	15	24	+72.4%	+13.6%	58.3%	+474.1%	-10.0%
2021	64	237	+1.1%	-10.0%	20.7%	+284.4%	-10.0%
2022	38	103	+15.4%	-10.0%	35.0%	+261.1%	-10.0%
2023	57	138	+16.5%	-10.0%	37.0%	+241.9%	-10.0%
2024	91	365	+0.7%	-10.0%	21.4%	+182.9%	-10.0%
2025	82	289	-6.3%	-10.0%	4.2%	+204.7%	-10.0%
2026	12	21	-10.0%	-10.0%	0.0%	-10.0%	-10.0%



7. Stop-Loss Timing

Metric	Value
Total stop-loss exits	964
Min days to stop	1
Max days to stop	352
Mean days to stop	41
Median days to stop	21
Q1 / Q3	7 / 52

Bucket	Count	% of Stops
< 30 days	584	61%
30–90 days	258	27%
90–180 days	83	9%
>180 days	39	4%

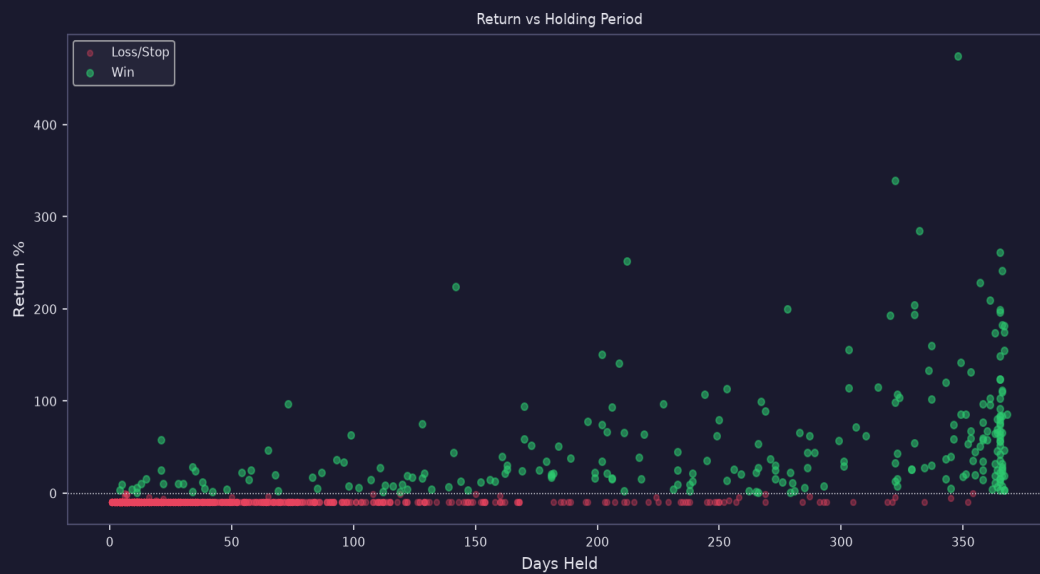
8. Top 15 Winners

Symbol	Listed	E#	Entry Date	Entry █	Exit █	Return	Days
ANGELONE	2020-10-05	2	2020-10-22	█23.90	█137.18	+474.1%	348
HAPPSTMNDS	2020-09-17	3	2020-10-30	█338.95	█1489.90	+339.6%	322
EASEMYTRIP	2021-03-19	3	2021-04-23	█5.55	█21.33	+284.4%	332
KAYNES	2022-11-22	1	2022-11-22	█689.95	█2491.15	+261.1%	365
PRINCEPIPE	2019-12-30	6	2020-06-01	█84.90	█298.90	+252.1%	212
IREDA	2023-11-29	1	2023-11-29	█60.00	█205.16	+241.9%	366
SIGNATURE	2023-09-27	1	2023-10-06	█483.70	█1588.30	+228.4%	357
SWSOLAR	2019-08-20	9	2020-03-31	█77.00	█249.95	+224.6%	142
EMSLIMITED	2023-09-21	1	2023-09-28	█259.10	█801.05	+209.2%	361
STALLION	2025-01-23	6	2025-02-27	█64.78	█197.40	+204.7%	330
NETWEB	2023-07-27	3	2023-10-25	█779.35	█2340.35	+200.3%	278
ROUTE	2020-09-21	1	2020-09-21	█651.30	█1949.65	+199.3%	365
ATHERENERG	2025-05-06	1	2025-05-06	█302.30	█897.55	+196.9%	365
VENUSPIPES	2022-05-24	1	2022-06-28	█330.30	█969.35	+193.5%	330
QPOWER	2025-02-25	3	2025-04-11	█307.25	█899.45	+192.7%	320

Bottom 15 Losers

Symbol	Listed	E#	Entry Date	Entry █	Exit █	Return	Days
RVNL	2019-04-11	1	2019-04-15	█23.65	█21.28	-10.0%	15
RVNL	2019-04-11	2	2019-05-02	█23.90	█21.51	-10.0%	12
RVNL	2019-04-11	3	2019-05-20	█23.90	█21.51	-10.0%	284
RVNL	2019-04-11	4	2020-03-02	█20.25	█18.23	-10.0%	7
RVNL	2019-04-11	5	2020-03-13	█17.00	█15.30	-10.0%	5
RVNL	2019-04-11	6	2020-03-18	█14.40	█12.96	-10.0%	5
POLYCAB	2019-04-16	1	2019-05-10	█655.15	█589.64	-10.0%	6
POLYCAB	2019-04-16	2	2019-07-01	█643.35	█579.01	-10.0%	29
INDIAMART	2019-07-04	1	2019-07-04	█650.97	█585.88	-10.0%	35
AFFLE	2019-08-08	1	2019-08-08	█174.73	█157.26	-10.0%	11
SPANDANA	2019-08-19	1	2019-08-19	█847.80	█763.02	-10.0%	207
SPANDANA	2019-08-19	2	2020-03-13	█920.80	█828.72	-10.0%	3
SPANDANA	2019-08-19	3	2020-03-16	█827.05	█744.34	-10.0%	2
SPANDANA	2019-08-19	4	2020-03-18	█770.90	█693.81	-10.0%	1
SPANDANA	2019-08-19	5	2020-03-19	█685.65	█617.09	-10.0%	4

9. Return vs Holding Period



Most losses (red) cluster at -10% across all holding periods — these are the stop-loss exits. Winners (green) are spread across 60–370 days, with the largest gains concentrated in the 200–370 day range, consistent with a mean-reversion thesis that plays out over the full year.

10. Key Findings & Interpretation

■ High trigger rate

100% of IPOs with data triggered the 10% bounce signal at least once within their 1-year window. This is expected — all stocks eventually bounce from a low.

■ Low win rate, high win size

Win rate is ~20% but average winner returns +57%. The strategy is a low-probability, high-payoff bet. Positive expectancy (+3.9% mean) comes from asymmetry, not frequency.

■ Stop dominates outcomes

78% of trades are stopped out at -10%. Most bounces fail — the signal is necessary but not sufficient for a sustained recovery.

■ Re-entry doesn't degrade performance

Win rate and mean return are broadly stable across entry numbers 1–6 (~18–21% win rate). Re-entering after a stop is not harmful, though later entries have less time to anniversary.

■ 2020 cohort is the outlier

The 2020 listing cohort (COVID-era IPOs) produced +72% mean return with 58% win rate — driven by the broad market recovery. Other years show 0–25% mean returns.

■ Recent IPOs underperform

2025–2026 listings show negative mean returns (-5% to -10%), likely because these IPOs are recent, still within their active window, and many have not yet recovered from post-listing declines.

■ CAGR proxy

The ~17% annualised CAGR is misleading in isolation — it reflects the arithmetic mean of a highly skewed distribution where most returns are -10% and a small number are +100 to +474%. Capital allocation per trade matters significantly.

Disclaimer: This is a historical backtest for research purposes only. Results assume perfect fills at closing prices, no slippage, no brokerage costs, and no impact cost. Past performance does not guarantee future results.